



TEST CODE **02133020**

**FORM TP 2012225**

MAY/JUNE 2012

**CARIBBEAN EXAMINATIONS COUNCIL**

**ADVANCED PROFICIENCY EXAMINATION**

**MANAGEMENT OF BUSINESS**

**UNIT 1 – Paper 02**

*2 hours 30 minutes*

**11 MAY 2012 (p.m.)**

**READ THE FOLLOWING INSTRUCTIONS CAREFULLY.**

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Begin **EACH** question on a separate page.
5. Each question is worth a total of **25 marks**.

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02133020/CAPE 2012



**SECTION A**

**MODULE 1: BUSINESS AND ITS ENVIRONMENT**

**Answer ONE question from this section.**

1. (a) (i) Define the term 'multi-national corporation'. [2 marks]
- (ii) Outline THREE reasons why firms become multi-national corporations. [6 marks]
- (b) Discuss TWO potential benefits and TWO potential drawbacks of a multi-national company to the host country. [17 marks]

**Total 25 marks**

2. Linda, a small sole trader, is thinking of expanding her business. She is faced with two options: To go into a partnership or to convert to a limited liability company.

- (a) (i) Define the term 'partnership'. [2 marks]
- (ii) Outline THREE advantages that Linda would enjoy if she decides to continue operating her business as a sole trader rather than going into a partnership. [6 marks]
- (b) Discuss TWO advantages and TWO disadvantages that Linda may experience if she decides to convert her business to a limited liability company rather than a partnership. [17 marks]

**Total 25 marks**

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**SECTION B**

**MODULE 2: MANAGEMENT OF PEOPLE**

**Answer ONE question from this section.**

- 3.** (a) Distinguish between 'training' and 'development'. **[4 marks]**
- (b) Outline TWO conditions under which EACH of the following types of training is BEST suited:
- (i) Internally based
  - (ii) Externally based **[8 marks]**
- (c) Discuss THREE reasons why training is important to organizations. **[13 marks]**

**Total 25 marks**

- 4.** (a) Define EACH of the following terms:
- (i) Leadership **[2 marks]**
  - (ii) Conflict **[2 marks]**
- (b) Distinguish between a 'directive leadership style' and a 'participative leadership style'. **[4 marks]**
- (c) Outline TWO advantages and TWO disadvantages of the participative leadership style. **[8 marks]**
- (d) Discuss TWO strategies that a manager may employ to manage conflict in an organization. **[9 marks]**

**Total 25 marks**

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**SECTION C**

**MODULE 3: BUSINESS FINANCE AND ACCOUNTING**

**Answer ONE question from this section.**

5. Spice Island Corporation is considering investing in one of two projects – A or B. The initial cost and net cash inflows from each project are shown below. The company has the option of borrowing the amount to cover the cost of **EITHER** project at 10% interest per annum.

| Cash Flow        | Project A | Project B |
|------------------|-----------|-----------|
|                  | \$        | \$        |
| Initial Cost     | 5 000 000 | 5 400 000 |
| Net Cash Inflows |           |           |
| Year 1           | 1 000 000 | 1 400 000 |
| Year 2           | 1 300 000 | 1 600 000 |
| Year 3           | 1 300 000 | 1 600 000 |
| Year 4           | 1 200 000 | 1 600 000 |
| Year 5           | 1 200 000 | 1 200 000 |

Discount factors at 10% per annum

| Year | Factor |
|------|--------|
| 1    | 0.909  |
| 2    | 0.826  |
| 3    | 0.751  |
| 4    | 0.683  |
| 5    | 0.621  |

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- (a) Using the payback method:
- (i) calculate the payback period for
    - a) Project A
    - b) Project B [6 marks]
  - (ii) identify the project in which the company should invest, giving ONE reason for your choice [2 marks]
- (b) Using the net present value method
- (i) calculate the net present value (NPV) for Project A and Project B [8 marks]
  - (ii) identify the project in which the company should invest, giving ONE reason for your choice. [2 marks]
- (c) State TWO advantages and ONE disadvantage of using
- (i) the NPV method
  - (ii) the payback method. [6 marks]
- (d) Identify ONE investment appraisal method, other than the net present value and the payback method. [1 mark]
- Total 25 marks**
6. (a) Outline TWO advantages and ONE limitation of ratio analysis. [6 marks]
- (b) Distinguish between a 'cash flow statement' and a 'funds flow statement'. [4 marks]
- (c) (i) Identify THREE methods that a firm could employ to improve its cash flow position. [3 marks]
- (ii) Outline ONE advantage and ONE disadvantage of EACH method identified in (c) (i) above. [12 marks]
- Total 25 marks**

**END OF TEST**

**IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.**